

STARTUP INDIA (DPIIT) RECOGNITION — COMPLIANCE OVERVIEW

This document provides a general overview of Startup India recognition and associated benefits. This is general informational content, not professional advice.

1. What is Startup India Recognition

Startup India is a Government of India initiative (launched in 2016) that provides recognition, tax benefits, and support to eligible startups through the Department for Promotion of Industry and Internal Trade (DPIIT).

2. Eligibility Criteria

- The entity must be incorporated as a Private Limited Company, Registered Partnership Firm, or Limited Liability Partnership (LLP) in India.
- The entity should not be older than 10 years from the date of incorporation.
- Annual turnover should not have exceeded INR 100 crore in any financial year since incorporation.
- The entity must be working towards innovation, development, or improvement of products/services, or have a scalable business model with high potential for employment or wealth creation.
- The entity should not have been formed by splitting up or reconstructing an existing business.

3. Documents Required for DPIIT Recognition

- Certificate of Incorporation/Registration
- PAN of the entity
- Details of Directors/Partners
- Brief write-up on the nature of business highlighting innovation
- Details of any funding received (if applicable)
- Website/pitch deck link (if available)

4. Registration Process

- Register the business as a Private Limited Company, LLP, or Partnership Firm first (via MCA or relevant registrar).
- Create a profile on the Startup India portal (startupindia.gov.in).
- Apply for DPIIT recognition by filling in company details and uploading required documents.
- Upon verification, a recognition certificate and unique Startup Recognition Number is issued.

5. Key Benefits

- Income tax exemption for 3 consecutive years out of the first 10 years (subject to conditions under Section 80-IAC).
- Exemption from angel tax on investments received, subject to conditions.
- Self-certification compliance under select labour and environmental laws, reducing inspection burden.
- Faster patent examination and up to 80% rebate on patent filing fees.
- Easier public procurement norms — exemption from prior experience/turnover criteria in government tenders.
- Access to the Fund of Funds for Startups (FFS) for funding support through SEBI-registered venture capital funds.
- Simplified winding-up process within 90 days under the Insolvency and Bankruptcy Code.